be scary is because, as I have mentioned, people take out massive loans without considering how difficult it will be to pay them back.

A good rule of thumb is that your student loan debt should not be higher than your starting salary. So if you are going to become a nurse and make $75,000 a year, you should do your best to make sure your debt does not exceed $75,000. Of course, your goal is to stay well below this amount and graduate with as little debt as possible. There are exceptions to this rule, however. If you are going to become a doctor, you can be a bit less scared of hundreds of thousands of dollars in student debt, because your salary is very likely going to be quite high, and you should be able to pay it back pretty easily.

Direct Subsidized and Unsubsidized Loans

A **direct subsidized loan** is a loan offered by the federal government to undergraduate and graduate students who demonstrate a need for financial aid. If you see the word *subsidized*, or if anyone offers to subsidize something for you, it is a good thing. It means that someone is going to help you pay for something. For example, if you live in subsidized housing, it means that someone is helping you pay for your cost of housing. In the case of student loans, a subsidized loan means that the interest is going to be subsidized (paid for) by the government while you are in school and for the six months after you graduate. After that point, the interest is accruing (beginning to increase your debt) and you need to start paying it. If you have already read the chapter on